

As of now, this contrasts with expectations of higher growth due to GST rate cuts with several agencies, including the RBI, raising their growth forecast. The RBI expects 6.8% growth this fiscal, more than the 6.5% it had forecast earlier.

For 51% of respondents, continued US tariffs are the top concern for the quarter, while for 35%, low consumer demand is the key challenge. The US tariffs have led to lower orders for 38% respondents; 7% have had to diversify markets. However, 52% of respondents said there has been no impact on their businesses.

GST CUT

The bigger surprise in the BCI is the lack of clarity on the impact of GST rate cuts on demand in the second quarter. The cuts came into force on September 22. Only 27% respondents said they have boosted sales performance; 66% said they have not helped demand at all.

Analysts expect the impact to be more visible from the third quarter and, perhaps in certain sectors. Sabnavis and Deshpande believe the second half will see stronger consumer demand as the cuts play out.

“Sales will improve in the short run due to the cuts, which happened when there is usual festive demand,” says Sabnavis. He adds that the bigger question is whether this will continue post 2026. “To keep consumption up, we need to not only create jobs but create jobs that give more discretionary income,” he says.

Deshpande says consumption is playing a stronger role than investment in supporting growth, thanks to the GST cuts. The cuts have also had a sentimental im-

STRONGER FOOTING



Post GST cuts, economic growth and consumption demand are expected to recover



6.8%: The RBI's revised GDP growth forecast for FY26, from 6.5% earlier



1.54%: Retail inflation in September, an eight-year low



\$5.5 billion: India's exports to the US in September 2025 versus \$8.8 billion in May 2025



4%: Growth in factory output in September



₹1.96 lakh cr: GST revenue collections in October

pact. “The I-T relief that middle-income segments have got, low inflation during the year, which almost all income segments are enjoying, and lower interest rates that benefit those more attuned to debt-financed consumption, are supporting demand in the short term. From the rural side, agri incomes are strong,” she says.

High-frequency indicators show the impact was evident in October. Factory output in September grew by 4% and manufacturing by 4.8%. Following the GST cuts, automobile sales touched a record during Navratri, with the trend continuing during Diwali. Passenger car sales hit a new record in October at 490,000 units, a 17% jump year-on-year. Gross GST revenue grew 4.6% to ₹1.96 lakh crore although net collections were almost flat with analysts expecting a surge in November data as that will reflect the spending in October. The HSBC India Manufacturing PMI rose to 59.2 in October from 57.7 in September due to a sharp growth in new orders.

“Once the current ‘pent-up’ demand moderates when the festive season ends, what will become critical is whether this momentum is sustained into 2026,” says a report by HDFC Bank economists, noting that on the rural side, they have greater conviction of a continued improvement in demand conditions, aided by an improvement in rural wages and multiple consecutive healthy cropping cycles.

“However, on the urban side, the sustainability of the recovery during the festive season remains tentative,” it says, pointing out that the trifecta of interest rate cuts, GST cuts and tax cuts are expected to start supporting